US retreat on nuclear demands necessary for limited deal

送信者: EG US Daily 受信日時: 2026-10-30 00:48

【メール原文】

US retreat on nuclear demands necessary for limited deal. Vice President JD Vance sent a letter to Mohsen Rezaee, Secretary of Iran's Supreme National

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US retreat on nuclear demands necessary for limited deal. Vice President JD Vance sent a letter to Mohsen Rezaee, Secretary of Iran's Supreme National Security Council, suggesting a resumption in direct negotiations. However, US demands for up-front nuclear concessions from Iran means even limited deal remains unlikely.

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Vance’s letter reprises his role as a lead negotiator from the US side, and his choice of Rezaee reflects a slight tactical change in Washington: the US side now is reaching out to a security-oriented official rather than previous diplomats and political figures. Washington appears to see Rezaee as a plausible diplomatic interlocutor.
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Vance’s outreach is nominally intended to create a framework for negotiations on Iran’s nuclear program. However, whatever US entreaties for peace in the letter are counterbalanced by a credible threat of escalation after the midterms—additional US military assets are en route to the region—while the contents of the letter suggest a US effort to add pressure on Iran in order to extract additional concessions.
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We continue to think that, while there is scope for the administration to opt for a limit deal over escalation, it is unlikely (20% odds, with escalation at 65%; see The US will likely strike Iran in mid-November , 27 October 2026), given the US insistence that Iran make up-front nuclear concessions. Since Iran continues to reject making such concessions until its own demands are met, Vance’s outreach does not change our view that a deal remains unlikely.

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Vance’s role as the administration’s chief public face of diplomatic efforts puts him in a difficult political position and probably carries more risks for his standing than it does benefits. Vance is positioning himself to differentiate his own view on the war from that of the White House, but he’ll ultimately be judged by voters not on the sincerity of his diplomatic efforts, but on the success of those efforts.

Hot data keep Fed on hiking path and White House targeting its board. Yesterday the Fed voted 10-2 to hold rates at the current level, with governor Lisa Cook and Cleveland Fed president Beth Hammack voting to hike. Today's strong data reading is consistent with a hike in December or January, currently fully priced in by markets: Q3 GDP grew 3.4% and core inflation is stable at 3.1% year-on-year. Rising rates will intensify the White House’s campaign against the board .

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The White House will move quickly to fire Cook again after her upcoming hearing, and while markets assume she would win the legal fights, courts could let a for-cause removal stand; the attitude of the likely swing vote on the Supreme Court, Justice Brett Kavanaugh, on what constitutes justifiable “cause” was left ambiguous by the court’s ruling earlier this year. The Cook hearing, set for 5 November, could slip to December at her request. We still expect the White House to fire Fed governor Michael Barr for cause, relating to his handling of the Silicon Valley Bank collapse, by year-end.

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A Democratic Senate would probably leave vacated seats empty, since replacements would need bipartisan confirmation. It is possible, but not highly likely, that a bipartisan bargain could see two open seats filled in the next Congress.

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The Fed is on a path of hiking roughly every other meeting from an already-high real rate (see chart below). AI investment lifted private demand 4.9% and core PCE’s three-month pace hit 2.9%, even as real incomes fell in September. As tightening bites into the rate-sensitive parts of consumption and investments, the White House will blame the board.

US and China restrictions will deepen biomedical license reliance. Treasury's proposed rule under the Comprehensive Outbound Investment National Security Act (COINS) adds biotech and pharma to the covered sectors, contrary to Eurasia Group expectations. We expect industry pushback to narrow the rule, but US restrictions on China biotech are likely to stay and will push the American and Chinese innovation systems further apart.

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Comments on the proposed rule are open until 7 December, and we expect industry pushback to narrow the scope of its restrictions to more clearly address national security concerns.

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As drafted, the rule allows licensing but halts co-development and direct investment in Chinese biotech companies, making early-stage firms and venture funds the most exposed. The "NewCo" model, where Chinese assets are licensed by a newly-established US-based company for development, may survive under heavy scrutiny.

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China's response has been measured, and it is likely waiting for clearer US rules. In the meantime, though, it has restricted the transfer of valuable IP abroad. The end result of these restrictions on both sides will be divergent innovation ecosystems, where US firms would license finished assets but be

locked out of early-stage development.

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For more, please see US and China restrictions will deepen biomedical license reliance amid innovation decoupling , 28 October 2026.

Unions will be an important constituency for Democrats in AI messaging. The president of the AFL-CIO, the union federation counting over 12 million members, said the organization is preparing AI legislation for Congress to pass next year.

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As Democrats use their likely majorities in both chambers of Congress to reset the terms of the AI debate (see: “Democrats would use majority to reset terms of AI debate ,” 19 October 2026), labor unions—including the AFL-CIO, but also the United Auto Workers, Teamsters, and hundreds of smaller unions across the country—will be an important voice in that debate.

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Unions’ influence will matter more to issues like worker-protection legislation and data-center policy, both at the federal and state level, than to more technical matters like regulatory standards, liability law, and privacy protections. While the exact measures for which the AFL-CIO will push haven’t been publicly disclosed, it’s likely that unions will pressure Democrats (and Republicans) to give workers a veto over—or at least notification of—AI use in the workplace; to protect workers from AI-related layoffs; and to expand worker retraining and employer-matching programs.

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At least some key Democratic figures are likely to be aligned with these concerns; Senator Ron Wyden (D-OR), the likely next chair of the Senate Finance Committee, recently proposed raising taxes on data centers to pay for an expansion of unemployment benefits, while potential presidential contender Senator Mark Kelly (D-AZ) has introduced legislation to create a federal trust fund for worker development and job retraining.

Quote of the Day

"Mary Peltola should suffer the Legal and Political consequences for what she has done, A FRAUD ON THE AMERICAN PUBLIC, and Dan Sullivan should be allowed to run without either Mary Peltola or FAKE Dan Sullivan on the Ballot." - Trump posting on social media about a New York Times investigation that found Democratic operatives affiliated with Mary Peltola's Alaska Senate campaign recruited Dan J. Sullivan to run in order to pull votes from incumbent Republican Sen. Dan S. Sullivan. This will likely intensify the administration's efforts to challenge the results of Alaska's election if Peltola wins; however, we still assess it is very unlikely that any election challenges are successful this fall. (Please see White House has no good options for midterm disruptions , 27 October 2026.)

On the Radar

30-31 October: G20 Foreign Ministers' meeting

3 November: National midterm elections

9 November: Congress returns from recess

18-19 November: APEC leaders meeting in China

11 December: Government funding runs out

14-15 December: G20 summit in Florida

10 January: US-China tariff truce expires

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